Diffusion Models: From Adding Noise to Generating Images

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Abstract

Diffusion models have emerged as a dominant paradigm in generative artificial intelligence, achieving unprecedented visual fidelity and robust likelihood-based training without adversarial instability. This report investigates the fundamental guiding question: *how can learning to remove noise enable a neural network to generate novel images, and why does diffusion within a learned latent space drastically reduce computational requirements?* Grounded in two foundational papers, Denoising Diffusion Probabilistic Models (Ho et al., 2020) and Latent Diffusion Models (Rombach et al., 2022), we examine the mathematical principles of forward Gaussian corruption, reverse denoising, and perceptual latent compression. Through theoretical derivations, a step-by-step numerical worked example, and empirical benchmark experiments, we provide an integrated analysis of diffusion dynamics, high-resolution scaling trade-offs, and practical deployment limitations. Code, model checkpoints, and reproducible Google Colab notebooks are open-sourced at https://github.com/ChiVan222/AI_Seminar_Diffusion.

Keywords: Generative AI, Denoising Diffusion Probabilistic Models, Latent Diffusion Models, Variational Autoencoders, Cross-Attention, Generative Learning Trilemma.

1 Introduction

Synthesizing high-dimensional continuous signals such as natural images is a central challenge in artificial intelligence. A natural image tensor is represented as $\mathbf{x} \in \mathbb{R}^{H \times W \times C}$, where H, W, and C denote the height, width, and color channel dimensions, respectively. Unlike supervised discriminative learning, which only seeks decision boundaries separating predefined class labels, a generative model must capture the true underlying probability distribution $p_{\text{data}}(\mathbf{x})$ of a complex, low-dimensional data manifold embedded in high-dimensional ambient space. Once learned, the model enables the synthesis of novel, realistic samples $\mathbf{x}_{\text{new}} \sim p_\theta(\mathbf{x})$.

Deep generative architectures have historically struggled to simultaneously achieve high sample sharpness, comprehensive mode diversity, and fast sampling speed. While early generative paradigms made substantial progress, each faced inherent trade-offs between sample quality, training stability, and sampling efficiency.

Tasks and Report Organization. This report is structured around the six required seminar tasks:

1. Distinguish generative and discriminative models; qualitatively compare GANs, autoregressive models, and diffusion models (Sections 2.1, 2.2, and 4.2).
2. Explain the forward process, β schedule, Gaussian noise, reverse process, noise predictor, and sampling. Draw a diagram illustrating both directions (Section 3.1).
3. Manually calculate one step of one-dimensional forward noising using chosen values for x_0, β, and ϵ; define the symbols and interpret the stochastic expectation (Section 3.2).
4. Illustrate noise addition to a small image (28×28) at five noise levels and demonstrate denoising and image generation (Section 4.3).
5. Explain latent diffusion using a VAE encoder/decoder, operations in latent space, and cross-attention conditioning; illustrate the pipeline (Sections 3.3 and 4.4).
6. Discuss sampling speed, quality, prompt-based control, and limitations related to training data, copyright, and bias. Compare one latent-diffusion setting with pixel-space diffusion using explicit criteria (Sections 4.5 and 5).

2 Background and Paper Review

2.1 Distinguishing Discriminative vs. Generative Models

Supervised machine learning and probabilistic modeling are fundamentally divided into two complementary paradigms:

1. *Discriminative Models:* Discriminator models are mainly used for classification and regression tasks. A discriminative model directly learns to predict the conditional probability distribution $P(Y \mid \mathbf{x})$, where Y is the class label and $\mathbf{x}$ represents the input features. It learns decision boundaries separating classes without modeling the distribution of the input features $\mathbf{x}$. Consequently, a discriminative model cannot generate novel data samples and often produces spuriously overconfident predictions on empty out-of-distribution regions.

2. *Generative Models:* Generative models are primarily used to generate novel data, though they can also be used for classification. A generative model learns the underlying data distribution $p(\mathbf{x})$, or the joint distribution $p(\mathbf{x}, Y)$ when conditioned on class labels Y. Its primary function is synthesizing new, realistic samples $\mathbf{x}_{\text{new}} \sim p(\mathbf{x})$ that resemble the training data distribution, while assigning negligible density to regions devoid of data.

Figure 1 illustrates this fundamental distinction on a four-class two-dimensional manifold.

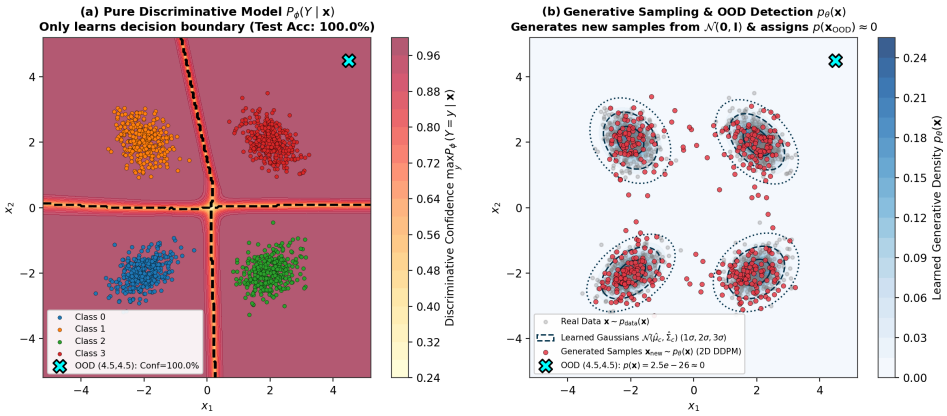


Figure 1. (a) A discriminative classifier learns quadrant decision boundaries to predict $P(Y \mid \mathbf{x})$ for classification, but exhibits unwarranted 100.0% overconfidence at an empty out-of-distribution coordinate $\mathbf{x}_{\text{OOD}} = (4.5, 4.5)$ and lacks generative ability; (b) A generative model explicitly learns the data density $p_\theta(\mathbf{x})$, detects out-of-distribution queries by assigning negligible density ($p(\mathbf{x}_{\text{OOD}}) \approx 0$), and synthesizes novel realistic samples $\mathbf{x}_{\text{new}} \sim p_\theta(\mathbf{x})$ along all four data modes.

2.2 Qualitative comparison of GANs, autoregressive models, and diffusion models

To contextualize diffusion models within the generative literature, we compare autoregressive models, variational autoencoders (VAEs), generative adversarial networks (GANs), and diffusion models across the Generative Learning Trilemma [16], which posits that a generative model ideally satisfies three core properties: (1) *High Sample Quality* (generating sharp, photorealistic samples), (2) *Fast Sampling* (synthesizing samples with minimal forward passes), and (3) *Full Mode Coverage* (faithfully covering all modes of the data distribution without mode collapse).

Historically, generative architectures achieved at most two of these three objectives, a theoretical trade-off that we also verify directly in our empirical experiments (Sections 4.2–4.5):

1. *Autoregressive Models (PixelRNN, PixelCNN) [10, 11]:* Factorize the joint distribution pixel-by-pixel via the probability chain rule $p_\theta(\mathbf{x}) = \prod_{i=1}^{n} p_\theta(x^{(i)} \mid x^{(<i)})$. They maximize exact log-likelihood and avoid mode collapse, achieving sharp local contrast and full diversity. However, sequential pixel-by-pixel generation incurs $\mathcal{O}(n)$ complexity and extremely slow sampling, as confirmed in our MNIST benchmark (Section 4.2, Figure 5 and Table 3), where PixelCNN requires 784 sequential forward passes ($4{,}294.7$ ms per 64 images).

2. *Variational Autoencoders (VAEs) [4]:* Introduce a continuous latent variable $\mathbf{z} \sim p(\mathbf{z}) = \mathcal{N}(\mathbf{0}, \mathbf{I})$ with an encoder $q_\phi(\mathbf{z} \mid \mathbf{x})$ and decoder $p_\theta(\mathbf{x} \mid \mathbf{z})$ trained via the evidence lower bound (ELBO). VAEs generate images in a single decoder pass and cover all modes, but pixel-level reconstruction losses average across plausible modes and produce visibly blurry samples, reflected in our benchmark by the fastest sampling latency (6.5 ms per 64 images) but the lowest edge sharpness (LapVar $= 0.0182$, FID $= 82.27$ in Table 3).

3. *Generative Adversarial Networks (GANs) [5, 6]:* Frame synthesis as a minimax game $\min_G \max_D$ between a Generator $G_\theta(\mathbf{z})$ and Discriminator $D_\phi(\mathbf{x})$. GANs produce razor-sharp images in a single feed-forward step (11.4 ms per 64 images and LapVar $= 0.0541$ in Table 3), but the lack of an explicit density objective causes training instability and mode dropping (FID $= 44.10$) [8].

4. *Denoising Diffusion Probabilistic Models (DDPM) [3, 1]:* Invert a parameterized T-step Markov chain using a U-Net $\boldsymbol{\epsilon}_\theta(\mathbf{x}_t, t)$ trained via unweighted mean-squared error L_{simple}. Diffusion models achieve state-of-the-art visual fidelity and full mode coverage, attaining the highest sharpness (LapVar $= 0.0601$), highest classifier confidence (97.4%), and lowest FID (16.85) in our MNIST benchmark (Table 3), with sequential sampling latency ($3{,}926.8$ ms for $T = 300$ steps) as their primary bottleneck.

5. *Latent Diffusion Models (LDM) [2]:* Resolve the computational bottleneck of DDPM by compressing $\mathbf{x}_0 \to \mathbf{z}_0$ via a frozen perceptual spatial VAE and executing diffusion on the low-dimensional latent tensor $\mathbf{z}_t$. Our

experiments in Sections 4.4 and 4.5 (Figures 7–10) demonstrate that this spatial latent bottleneck preserves perceptual fidelity (PSNR $= 33.74$ dB, FID $= 0.18$) while accelerating U-Net training by $7.61\times$ per epoch and cutting GPU activation memory by $13.81\times$.

Table 1 summarizes the qualitative properties of each generative family across the trilemma, citing primary literature sources for every claim, while Section 4.2 (Figure 5 and Table 3) and Sections 4.4–4.5 (Figures 7–10 and Table 4) present our corresponding qualitative and quantitative experimental validations.

Table 1. Qualitative comparison of major generative model families across the Generative Learning Trilemma [16], citing primary literature sources for each theoretical property and empirical claim (Task 1).

Model Family	Density $p_\theta(\mathbf{x})$	Sample Quality	Mode Coverage	Sampling Speed
Autoregressive [10, 11] (PixelRNN, PixelCNN)	Explicit, Exact (Exact MLE) [10, 11]	Sharp local contrast [10, 16]	Full (No mode collapse; stable MLE) [10, 1]	Extremely Slow ($\mathcal{O}(n)$ sequential pixel evaluations) [10, 13, 16]
VAE [4] (Variational Autoencoder)	Explicit, Approx. (ELBO Bound) [4]	Blurry (Single-step L_2/BCE mode averaging) [4, 9, 16]	Full, smooth latent manifold [4, 16]	Very Fast (1 Decoder forward pass) [4, 16]
GAN [5, 6] (DCGAN, StyleGAN)	Implicit (Likelihood-free) [5]	Razor Sharp (Mode-seeking via adversarial loss) [5, 7, 16]	Poor (Prone to Mode Collapse and minimax instability) [5, 8, 16]	Very Fast (1 Generator forward pass) [5, 16]
Pixel Diffusion [3, 1] (DDPM)	Explicit, Approx. (T-step ELBO) [3, 1]	SOTA Sharpness (FID 3.17 on CIFAR-10) [1, 14]	Full (Stable regression; beats GAN mode coverage) [1, 14, 16]	Slow ($T \approx 1000$ sequential full-res U-Net passes) [1, 13, 16]
Latent Diffusion [2] (LDM / Stable Diffusion)	Two-Stage ELBO (VAE + Diffusion) [2]	SOTA Photorealism at high resolution (FID 5.11 on CelebA-HQ) [2]	Full and flexible multimodal text conditioning [2]	Fast and Practical (Operates on $48\times$ smaller $\mathbf{z}_t$; 20 to 50 DDIM steps) [2, 13]

2.3 Foundational Literature Review

This report analyzes two foundational milestone papers:

- *Required Paper: Ho, Jain and Abbeel (NeurIPS 2020), "Denoising Diffusion Probabilistic Models" (DDPM) [1]:* Demonstrated that diffusion models generate image quality rivaling GANs while retaining likelihood-based mode coverage. The paper made three key contributions: (1) establishing the equivalence between denoising score matching and Markov chain reverse step estimation; (2) reparameterizing the reverse transition mean to predict the injected Gaussian noise vector $\boldsymbol{\epsilon}$; (3) introducing the unweighted simplified training objective $L_{\text{simple}}(\theta)$, which suppresses small-step noise artifacts and prioritizes perceptual visual features.
- *Recommended Paper: Rombach et al. (CVPR 2022), "High-Resolution Image Synthesis With Latent Diffusion Models" (LDM) [2]:* Identified that training pixel-space diffusion models on high-resolution images allocates excessive compute to imperceptible high-frequency details. Rombach et al. introduced a two-stage paradigm: (1) a first stage Variational Autoencoder (VAE) trained with perceptual and adversarial losses that compresses high-dimensional images into an efficient spatial latent space; (2) a second stage diffusion backbone operating exclusively on latent representations, incorporating cross-attention layers to enable flexible conditioning on text prompts, bounding boxes, or segmentation maps.

3 Method and Step-by-Step Worked Example

3.1 Forward Process, Variance Schedule, Reverse Denoising, and Sampling (Task 2)

Forward Noising Process. Let clean data follow an unknown distribution $\mathbf{x}_0 \sim q(\mathbf{x}_0)$. The forward diffusion process is a non-trainable Markov chain governed by a fixed variance schedule $\beta_1, \beta_2, \ldots, \beta_T \in (0, 1)$, where the joint distribution and individual Gaussian transitions are defined as:

$$q(\mathbf{x}_{1:T} \mid \mathbf{x}_0) = \prod_{t=1}^{T} q(\mathbf{x}_t \mid \mathbf{x}_{t-1}), \quad q(\mathbf{x}_t \mid \mathbf{x}_{t-1}) = \mathcal{N}\big(\mathbf{x}_t;\ \sqrt{1-\beta_t}\,\mathbf{x}_{t-1},\ \beta_t \mathbf{I}\big) \tag{1}$$

Variance-Preserving Property. Equation (1) implements a Variance-Preserving (VP) stochastic process. By scaling the incoming signal by $\sqrt{1-\beta_t}$, total variance is preserved: if the previous state has unit variance $\text{Var}(\mathbf{x}_{t-1}) = \mathbf{I}$, then $\text{Var}(\mathbf{x}_t) = (\sqrt{1-\beta_t})^2 \text{Var}(\mathbf{x}_{t-1}) + \beta_t \mathbf{I} = (1-\beta_t)\mathbf{I} + \beta_t \mathbf{I} = \mathbf{I}$. Consequently, the signal amplitude never explodes, and the final state converges smoothly to standard white Gaussian noise $\mathbf{x}_T \approx \mathcal{N}(\mathbf{0}, \mathbf{I})$.

Closed-Form Multi-Step Transition. A key property of Gaussian Markov chains is that intermediate steps can be bypassed in closed form. Defining $\alpha_t = 1 - \beta_t$ and cumulative signal retention $\bar{\alpha}_t = \prod_{s=1}^{t} \alpha_s$, any intermediate noisy state $\mathbf{x}_t$ can be sampled directly from $\mathbf{x}_0$ using standard Gaussian noise $\boldsymbol{\epsilon} \sim \mathcal{N}(\mathbf{0}, \mathbf{I})$:

$$q(\mathbf{x}_t \mid \mathbf{x}_0) = \mathcal{N}\big(\mathbf{x}_t;\ \sqrt{\bar{\alpha}_t}\,\mathbf{x}_0,\ (1-\bar{\alpha}_t)\mathbf{I}\big) \iff \mathbf{x}_t = \sqrt{\bar{\alpha}_t}\,\mathbf{x}_0 + \sqrt{1-\bar{\alpha}_t}\,\boldsymbol{\epsilon} \tag{2}$$

Equation (2) enables efficient training by sampling random timesteps $t \sim \text{Uniform}(\{1, \dots, T\})$ in $\mathcal{O}(1)$ time without simulating steps 1 to $t-1$.

Variance Schedule Selection. The schedule $\beta_1, \dots, \beta_T$ controls the rate of information destruction:

- *Small β_t and Large T:* Small β_t ensures that the true reverse transition $q(\mathbf{x}_{t-1} \mid \mathbf{x}_t)$ remains nearly Gaussian, while sufficiently large T ensures $\bar{\alpha}_T \approx 0$ so that $\mathbf{x}_T \sim \mathcal{N}(\mathbf{0}, \mathbf{I})$.
- *Linear Schedule (Ho et al. [1]):* Linearly interpolates from $\beta_1 = 10^{-4}$ to $\beta_T = 0.02$ across $T = 1000$.
- *Cosine Schedule (Nichol & Dhariwal [15]):* Sets $\bar{\alpha}_t = f(t)/f(0)$ with $f(t) = \cos^2\left(\frac{t/T+s}{1+s} \cdot \frac{\pi}{2}\right)$ to prevent abrupt signal destruction in early timesteps.
- *Latent Diffusion Schedule (Rombach et al. [2]):* Uses a scaled-linear schedule ($\beta_1 = 0.00085 \to \beta_T = 0.012$) tailored to normalized latent spaces.

Reverse Denoising Process and Posterior Tractability. The marginal reverse transition $q(\mathbf{x}_{t-1} \mid \mathbf{x}_t)$ is intractable because it requires integrating over the unknown data distribution $q(\mathbf{x}_0)$. However, conditioning on the clean image $\mathbf{x}_0$ via Bayes' rule renders the forward posterior Gaussian and analytically tractable:

$$q(\mathbf{x}_{t-1} \mid \mathbf{x}_t, \mathbf{x}_0) = \frac{q(\mathbf{x}_t \mid \mathbf{x}_{t-1}, \mathbf{x}_0)\, q(\mathbf{x}_{t-1} \mid \mathbf{x}_0)}{q(\mathbf{x}_t \mid \mathbf{x}_0)} = \mathcal{N}\big(\mathbf{x}_{t-1};\, \tilde{\boldsymbol{\mu}}_t(\mathbf{x}_t, \mathbf{x}_0),\, \tilde{\beta}_t \mathbf{I}\big) \tag{3}$$

Matching quadratic Gaussian exponents yields the closed-form posterior mean and variance:

$$\tilde{\boldsymbol{\mu}}_t(\mathbf{x}_t, \mathbf{x}_0) = \frac{\sqrt{\bar{\alpha}_{t-1}}\,\beta_t}{1-\bar{\alpha}_t}\,\mathbf{x}_0 + \frac{\sqrt{\alpha_t}\,(1-\bar{\alpha}_{t-1})}{1-\bar{\alpha}_t}\,\mathbf{x}_t, \quad \tilde{\beta}_t = \frac{1-\bar{\alpha}_{t-1}}{1-\bar{\alpha}_t}\,\beta_t \tag{4}$$

Since $\mathbf{x}_0$ is unknown during inference, we train a parameterized transition $p_\theta(\mathbf{x}_{t-1} \mid \mathbf{x}_t) = \mathcal{N}\big(\mathbf{x}_{t-1};\, \boldsymbol{\mu}_\theta(\mathbf{x}_t, t),\, \sigma_t^2 \mathbf{I}\big)$ with $\sigma_t^2 = \tilde{\beta}_t$ (or β_t). Rearranging Equation (2) as $\mathbf{x}_0 = \frac{1}{\sqrt{\bar{\alpha}_t}}\big(\mathbf{x}_t - \sqrt{1-\bar{\alpha}_t}\,\boldsymbol{\epsilon}\big)$ and substituting into Equation (4) reparameterizes $\boldsymbol{\mu}_\theta$ in terms of a U-Net noise predictor $\boldsymbol{\epsilon}_\theta(\mathbf{x}_t, t)$, yielding the reverse sampling update step from $\mathbf{x}_t$ to $\mathbf{x}_{t-1}$:

$$\boldsymbol{\mu}_\theta(\mathbf{x}_t, t) = \frac{1}{\sqrt{\alpha_t}}\left(\mathbf{x}_t - \frac{\beta_t}{\sqrt{1-\bar{\alpha}_t}}\,\boldsymbol{\epsilon}_\theta(\mathbf{x}_t, t)\right) \implies \mathbf{x}_{t-1} = \frac{1}{\sqrt{\alpha_t}}\left(\mathbf{x}_t - \frac{1-\alpha_t}{\sqrt{1-\bar{\alpha}_t}}\,\boldsymbol{\epsilon}_\theta(\mathbf{x}_t, t)\right) + \sigma_t \mathbf{z} \tag{5}$$

where $\mathbf{z} \sim \mathcal{N}(\mathbf{0}, \mathbf{I})$ for $t > 1$, and $\mathbf{z} = \mathbf{0}$ at the final step $t = 1$.

Score-Matching Equivalence and Simplified Objective L_{simple}. By Tweedie's Formula and denoising score matching [12, 1], the predicted noise estimates the Stein score of the perturbed density, $\mathbf{s}_\theta(\mathbf{x}_t, t) = -\boldsymbol{\epsilon}_\theta(\mathbf{x}_t, t)/\sqrt{1-\bar{\alpha}_t} \approx \nabla_{\mathbf{x}_t} \log q_t(\mathbf{x}_t)$, so subtracting predicted noise performs a step toward higher data density. Optimizing the variational lower bound L_{VLB} over the KL divergence terms $L_{t-1} = D_{\text{KL}}\big(q(\mathbf{x}_{t-1} \mid \mathbf{x}_t, \mathbf{x}_0) \parallel p_\theta(\mathbf{x}_{t-1} \mid \mathbf{x}_t)\big)$ reduces to a weighted MSE on $\boldsymbol{\epsilon}$. Ho et al. [1] showed that dropping the timestep weighting prefactor improves sample quality by emphasizing perceptually salient larger-t denoising tasks, yielding the simplified objective:

$$L_{\text{simple}}(\theta) = \mathbb{E}_{t, \mathbf{x}_0, \boldsymbol{\epsilon}}\left[\left\|\boldsymbol{\epsilon} - \boldsymbol{\epsilon}_\theta\big(\sqrt{\bar{\alpha}_t}\,\mathbf{x}_0 + \sqrt{1-\bar{\alpha}_t}\,\boldsymbol{\epsilon},\, t\big)\right\|^2\right] \tag{6}$$

where $t \sim \text{Uniform}(\{1, \dots, T\})$, $\mathbf{x}_0 \sim q(\mathbf{x}_0)$, and $\boldsymbol{\epsilon} \sim \mathcal{N}(\mathbf{0}, \mathbf{I})$. Figure 2 illustrates the resulting bidirectional Markov chain.

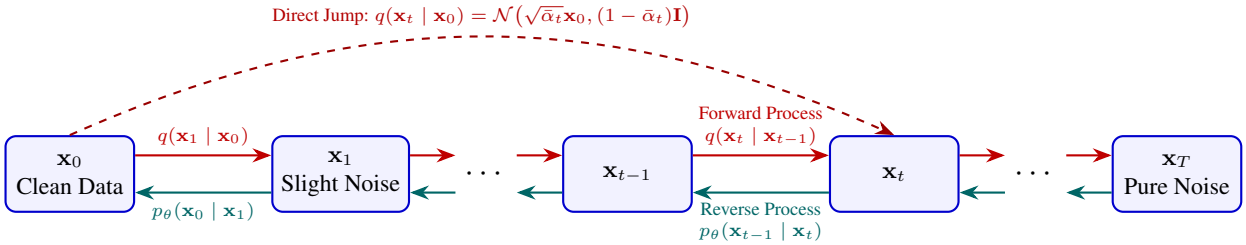


Figure 2. The DDPM Markov chain architecture: forward noising chain $q(\mathbf{x}_t \mid \mathbf{x}_{t-1})$ (top red arrows), closed-form multi-step jump $q(\mathbf{x}_t \mid \mathbf{x}_0)$ (curved red dashed arrow), and learned reverse denoising chain $p_\theta(\mathbf{x}_{t-1} \mid \mathbf{x}_t)$ parameterized by U-Net $\boldsymbol{\epsilon}_\theta$ (bottom teal arrows) [1].

Training and Sampling Algorithms. Figure 3 presents the complete DDPM training and sampling procedures [1]. In *Algorithm 1 (Training)*, each optimization step samples a clean image $\mathbf{x}_0 \sim q(\mathbf{x}_0)$, a uniform timestep $t \sim \text{Uniform}(\{1, \dots, T\})$, and standard Gaussian noise $\boldsymbol{\epsilon} \sim \mathcal{N}(\mathbf{0}, \mathbf{I})$, constructs the noisy observation $\mathbf{x}_t = \sqrt{\bar{\alpha}_t}\,\mathbf{x}_0 + \sqrt{1-\bar{\alpha}_t}\,\boldsymbol{\epsilon}$ directly in $\mathcal{O}(1)$ time via Equation (2), and updates the U-Net parameters θ by taking a gradient descent step on the unweighted MSE loss $\left\|\boldsymbol{\epsilon} - \boldsymbol{\epsilon}_\theta(\mathbf{x}_t, t)\right\|^2$. In *Algorithm 2 (Sampling)*, generation starts from pure Gaussian noise $\mathbf{x}_T \sim \mathcal{N}(\mathbf{0}, \mathbf{I})$ and iteratively applies the learned reverse transition (Equation (5)) from $t = T$ down to 1, subtracting the predicted noise component and adding Langevin stochasticity $\sigma_t \mathbf{z}$ for $t > 1$ (with $\mathbf{z} = \mathbf{0}$ at the final step $t = 1$), to produce a clean sample $\mathbf{x}_0$.

Algorithm 1 Training

repeat
  $\mathbf{x}_0 \sim q(\mathbf{x}_0)$
  $t \sim \text{Uniform}(\{1, \dots, T\})$
  $\boldsymbol{\epsilon} \sim \mathcal{N}(\mathbf{0}, \mathbf{I})$
  Take gradient descent step on
  $\nabla_\theta \left\| \boldsymbol{\epsilon} - \boldsymbol{\epsilon}_\theta\left(\sqrt{\bar{\alpha}_t}\mathbf{x}_0 + \sqrt{1-\bar{\alpha}_t}\boldsymbol{\epsilon},\, t\right) \right\|^2$
until converged

Algorithm 2 Sampling

$\mathbf{x}_T \sim \mathcal{N}(\mathbf{0}, \mathbf{I})$
for $t = T, \dots, 1$ **do**
  $\mathbf{z} \sim \mathcal{N}(\mathbf{0}, \mathbf{I})$ **if** $t > 1$ **else** $\mathbf{z} = \mathbf{0}$
  $\mathbf{x}_{t-1} = \frac{1}{\sqrt{\alpha_t}}\left(\mathbf{x}_t - \frac{1-\alpha_t}{\sqrt{1-\bar{\alpha}_t}}\boldsymbol{\epsilon}_\theta(\mathbf{x}_t, t)\right) + \sigma_t \mathbf{z}$
end for
return $\mathbf{x}_0$

Figure 3. DDPM Training (Algorithm 1) and Sampling (Algorithm 2) matching Ho et al. [1].

3.2 Formal Equation Specifications and 1D Worked Numerical Example (Section III & Task 3)

Symbol Definitions and Modeling Assumptions. Table 2 provides complete mathematical definitions, units, value ranges, and explicit modeling assumptions for every symbol in the DDPM framework.

Table 2. Complete symbol definitions, physical units, value ranges, and underlying probabilistic assumptions (Section III and Task 3 compliance).

Symbol	Mathematical Definition	Units & Value Range	Modeling Assumptions
T	Total number of diffusion steps	Discrete: $T \in \mathbb{N}^+$, $T = 1000$	Sufficiently large so that the final state $q(\mathbf{x}_T \mid \mathbf{x}_0)$ is indistinguishable from standard Gaussian noise.
t	Discrete diffusion timestep	Discrete: $t \in \{1, 2, \dots, T\}$	Sampled uniformly during training ($t \sim \text{Uniform}(\{1, \dots, T\})$) to ensure balanced multiscale noise feature learning.
$\mathbf{x}_0$	Clean initial data observation	Bounded tensor: $[-1, 1]^D$, $D = H \cdot W \cdot C$	Generated from empirical data distribution $q(\mathbf{x}_0)$; normalized to $[-1, 1]$ to match standard normal noise scale.
$\mathbf{x}_t$	Noisy continuous latent state at step t	Unbounded continuous: $\mathbb{R}^D$	Retains identical spatial dimensions as input ($\mathbf{x}_t \in \mathbb{R}^D$); distribution remains continuous Gaussian.
β_t	Forward variance schedule parameter	Dimensionless scalar: $\beta_t \in (0, 1)$	Preserves total variance via $\sqrt{1-\beta_t}$ contraction; small values guarantee reverse step Gaussianity.
α_t	Complementary variance fraction	Dimensionless scalar: $\alpha_t = 1 - \beta_t \in (0, 1)$	Represents the fraction of original signal variance retained across a single transition step.
$\bar{\alpha}_t$	Cumulative signal retention factor	Dimensionless scalar: $\bar{\alpha}_t = \prod_{s=1}^{t} \alpha_s \in (0, 1)$	Strictly monotonically decreasing toward zero ($\bar{\alpha}_1 \approx 0.9999 \to \bar{\alpha}_T \approx 0$).
$\boldsymbol{\epsilon}$	Injected standard Gaussian noise	Dimensionless tensor: $\boldsymbol{\epsilon} \sim \mathcal{N}(\mathbf{0}, \mathbf{I}_D)$	Independent and identically distributed across all dimensions and timesteps: $\mathbb{E}[\boldsymbol{\epsilon}] = \mathbf{0}$, $\text{Cov}(\boldsymbol{\epsilon}) = \mathbf{I}$.
$\boldsymbol{\epsilon}_\theta(\mathbf{x}_t, t)$	Trained U-Net noise predictor	Dimensionless tensor: $\mathbb{R}^D$	Parameterized by deep neural network weights θ; receives time embedding t and noisy state $\mathbf{x}_t$.
σ_t^2	Reverse stochastic variance	Dimensionless scalar: $\sigma_t^2 \in [0, \beta_t]$	Set to posterior variance $\tilde{\beta}_t = \frac{1-\bar{\alpha}_{t-1}}{1-\bar{\alpha}_t}\beta_t$ or upper bound β_t [1].
$L_{\text{simple}}(\theta)$	Simplified training loss objective	Dimensionless scalar: $[0, \infty)$	Unweighted L_2 error on noise vector; bounds L_{VLB} while prioritizing perceptually salient structure.

Step-by-Step One-Dimensional Worked Example. To verify the equations concretely, consider a one-dimensional continuous coordinate ($D = 1$) with initial clean signal $x_0 = 0.80$ at timestep $t = 1$, forward variance parameter $\beta_1 = 0.19$ (so $\alpha_1 = \bar{\alpha}_1 = 1 - \beta_1 = 0.81$ and $\sqrt{\alpha_1} = 0.90$), and sampled standard Gaussian noise $\epsilon = -0.50 \sim \mathcal{N}(0, 1)$:

- *Step 1: Forward Distribution $q(x_1 \mid x_0 = 0.80)$:* From Equation (1), $q(x_1 \mid x_0) = \mathcal{N}\big(x_1; \sqrt{1-\beta_1}\, x_0, \beta_1\big)$. Substituting the parameters yields mean $\mu_{x_1} = \sqrt{1-\beta_1}\, x_0 = 0.90 \times 0.80 = 0.7200$ and standard deviation $\sigma_{x_1} = \sqrt{\beta_1} = \sqrt{0.19} \approx 0.4359$, so $q(x_1 \mid x_0 = 0.80) = \mathcal{N}(x_1;\, 0.7200,\, 0.19)$.
- *Step 2: Realized Noisy Pixel x_1 for $\epsilon = -0.50$:* Applying the reparameterization formula in Equation (2):

$$x_1 = \sqrt{\bar{\alpha}_1}\, x_0 + \sqrt{1-\bar{\alpha}_1}\, \epsilon = 0.90(0.80) + 0.4359(-0.50) = 0.5021 \tag{7}$$

- *Step 3: Physical Interpretation of Stochastic Expectation $\mathbb{E}[x_1 \mid x_0] = 0.7200$:* Because $\mathbb{E}[\epsilon] = 0$, the expected corrupted coordinate is $\mathbb{E}[x_1 \mid x_0] = \sqrt{1-\beta_1}\, x_0 + \sqrt{\beta_1}\, \mathbb{E}[\epsilon] = 0.90(0.80) + 0 = 0.7200$. The factor $\sqrt{1-\beta_1} = 0.90 < 1.0$ acts as a deterministic signal contraction toward the origin 0 that balances the injected variance $\beta_1 = 0.19$ to preserve unit total variance.
- *Step 4: Worked Calculation of L_{simple} and Reverse Denoising ($x_1 \to \hat{x}_0$):* Suppose the neural network evaluates $(x_1 = 0.5021, t = 1)$ and predicts $\epsilon_\theta(0.5021, 1) = -0.30$. The single-sample squared error loss is $L_{\text{simple}} = (\epsilon - \epsilon_\theta(x_1, 1))^2 = (-0.50 - (-0.30))^2 = 0.0400$. At inference ($t = 1$, where $\sigma_1 = 0$), Equation (5) denoises

x_1 as:

$$\hat{x}_0 = \frac{1}{\sqrt{\alpha_1}}\left(x_1 - \frac{1-\alpha_1}{\sqrt{1-\bar{\alpha}_1}}\,\epsilon_\theta(x_1, 1)\right) = \frac{1}{0.90}\left(0.5021 - \frac{0.19}{0.4359}(-0.30)\right) = 0.7031 \tag{8}$$

If the network were perfectly trained ($\epsilon_\theta = \epsilon = -0.50$), the reverse step yields $\hat{x}_0 = \frac{1}{0.90}\big(0.5021 - 0.4359(-0.50)\big) = 0.8000$, recovering the exact clean coordinate.

3.3 Latent Diffusion Models: Perceptual VAE Compression and Cross-Attention (Task 5)

While DDPM produces high sample fidelity, executing $T = 1000$ sequential forward passes in high-dimensional pixel space creates severe computational overhead. For example, a $512 \times 512 \times 3$ image has 786,432 dimensions. Running deep convolutional and self-attention operations across this space requires weeks of high-end GPU cluster compute [2].

Two-Stage Separation of Inductive Biases. Rombach et al. [2] addressed this bottleneck by separating the generative process into two distinct phases:

1. *Perceptual Compression Stage:* A Variational Autoencoder (VAE) trained with perceptual loss and patch-based adversarial loss compresses the RGB image $\mathbf{x} \in \mathbb{R}^{H\times W\times 3}$ into a spatial latent representation $\mathbf{z} = \mathcal{E}(\mathbf{x}) \in \mathbb{R}^{h\times w\times c}$, where $h = H/f$, $w = W/f$, and $f = 2^m$ is the spatial downsampling factor (typically $f \in \{4, 8\}$). For a $512 \times 512 \times 3$ image with $f = 8$ and $c = 4$, the latent tensor has shape $64 \times 64 \times 4 = 16{,}384$ entries ($48\times$ smaller volume). A decoder $\mathcal{D}$ reconstructs the image $\hat{\mathbf{x}} = \mathcal{D}(\mathbf{z})$.

2. *Latent Diffusion Stage:* The autoencoder parameters $\mathcal{E}$ and $\mathcal{D}$ are frozen, and a time-conditioned U-Net operates exclusively within the latent space $\mathbf{z}_0 \leftrightarrow \mathbf{z}_T$, focusing capacity on semantic structure rather than imperceptible pixel noise.

Cross-Attention Conditioning and Classifier-Free Guidance (CFG). To condition generation on flexible multi-modal inputs y (such as text prompts or class labels), LDMs augment the U-Net backbone with cross-attention layers. A domain-specific encoder $\tau_\theta(y) \in \mathbb{R}^{M\times d_\tau}$ projects the prompt y, and intermediate U-Net features $\varphi_i(\mathbf{z}_t) \in \mathbb{R}^{N\times d_\epsilon}$ form queries, keys, and values $\mathbf{Q} = \mathbf{W}_Q^{(i)}\,\varphi_i(\mathbf{z}_t)$, $\mathbf{K} = \mathbf{W}_K^{(i)}\,\tau_\theta(y)$, and $\mathbf{V} = \mathbf{W}_V^{(i)}\,\tau_\theta(y)$:

$$\text{Attention}(\mathbf{Q}, \mathbf{K}, \mathbf{V}) = \text{softmax}\left(\frac{\mathbf{Q}\mathbf{K}^\top}{\sqrt{d}}\right)\mathbf{V}, \quad L_{\text{LDM}}(\theta) = \mathbb{E}_{\mathcal{E}(\mathbf{x}_0),\, y,\, \boldsymbol{\epsilon},\, t}\left[\left\|\boldsymbol{\epsilon} - \boldsymbol{\epsilon}_\theta\big(\mathbf{z}_t,\, t,\, \tau_\theta(y)\big)\right\|^2\right] \tag{9}$$

where $\mathbf{z}_t = \sqrt{\bar{\alpha}_t}\,\mathcal{E}(\mathbf{x}_0) + \sqrt{1-\bar{\alpha}_t}\,\boldsymbol{\epsilon}$. During training, the conditioning token is randomly replaced by a null token $\varnothing$ (e.g., $p_{\text{uncond}} = 0.15$) so that at inference Classifier-Free Guidance (CFG) extrapolates toward the conditional direction with scale $\alpha \geq 1$:

$$\tilde{\boldsymbol{\epsilon}}_\theta(\mathbf{z}_t, t, y, \alpha) = \boldsymbol{\epsilon}_\theta(\mathbf{z}_t, t, \varnothing) + \alpha\big(\boldsymbol{\epsilon}_\theta(\mathbf{z}_t, t, \tau_\theta(y)) - \boldsymbol{\epsilon}_\theta(\mathbf{z}_t, t, \varnothing)\big) \tag{10}$$

Figure 4 illustrates the complete Latent Diffusion Model architecture.

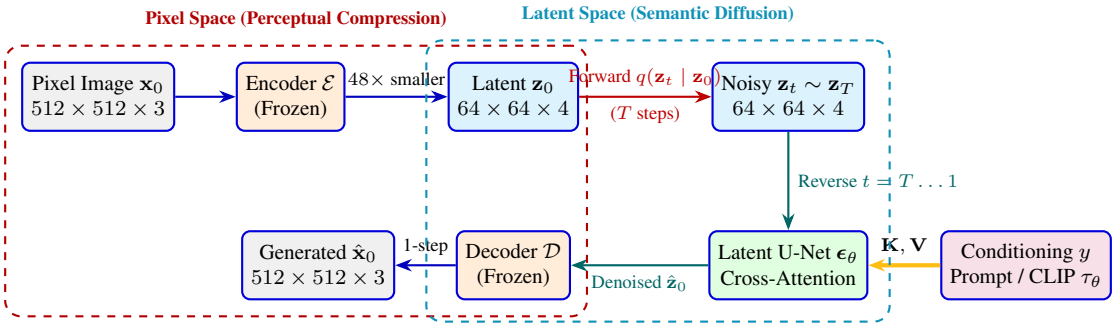


Figure 4. The Latent Diffusion Model (LDM) architecture: perceptual compression via a frozen autoencoder $(\mathcal{E}, \mathcal{D})$, semantic diffusion within latent space $\mathbf{z}$, and cross-attention conditioning $\tau_\theta(y)$ [2].

4 Results and Discussion

4.1 Implementation Setup and Datasets

All experiments were implemented in PyTorch and executed on a single NVIDIA Tesla T4 GPU (14.6 GB VRAM, CUDA 13.0) across two experimental suites:

1. *Tasks 1 & 4 (Pixel-Space Paradigms and Trajectories on MNIST):* Trained a Conv-VAE (12 epochs, 51.1 s), Autoregressive PixelCNN (12 epochs, 168.9 s), DCGAN (14 epochs, 95.7 s), and Pixel-Space DDPM ($T = 300$, linear schedule $\beta_1 = 10^{-4} \to \beta_{300} = 0.055$, 15 epochs, 272.3 s) on MNIST (28×28), evaluated by a trained `MNISTClassifier` (98.85% test accuracy).

2. *Tasks 5 & 6 (Latent Diffusion Architecture and Efficiency Suite):* Trained a Stage-1 Spatial Perceptual KL-VAE ($32\times32\times1 \to 8\times8\times4$, downsampling factor $f = 4$, $\beta_{\text{KL}} = 10^{-4}$), a Cross-Attention Conditioned Latent U-Net (`ConditionedLatentUNet`, $p_{\text{uncond}} = 0.15$), and two architecturally identical U-Nets (`BenchmarkUNet`) on 32×32 pixels vs. 8×8 latents, evaluated via a 32×32 CNN classifier (98.10% test accuracy).

4.2 Qualitative and Quantitative Comparison Across Generative Paradigms (Task 1)

To empirically validate Section 2.2 (Table 1), we trained a discriminative CNN classifier (`MNISTClassifier`) on the $60{,}000$-image MNIST training set that achieves 98.85% **test accuracy** on the $10{,}000$-image test set to evaluate Classifier Confidence (Cls. Conf. ↑), Inception Score (IS ↑), and Fréchet Inception Distance (FID ↓) alongside Laplacian Variance (LapVar ↑). Figure 5 presents samples synthesized from pure random noise across all four trained paradigms, and Table 3 reports their quantitative metrics and batch sampling latencies (64 images).

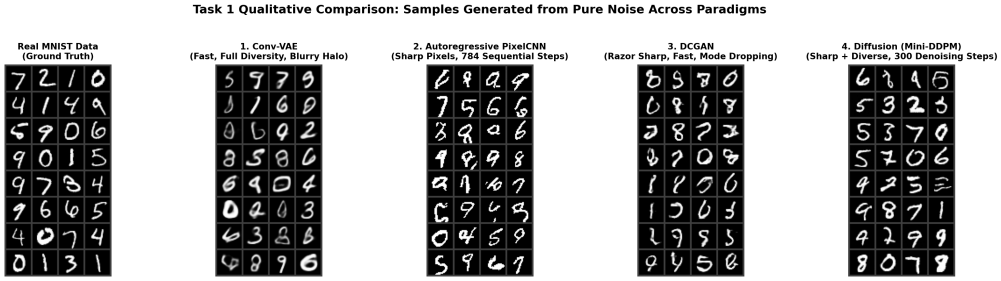


Figure 5. Qualitative comparison of samples generated from pure noise across paradigms on MNIST (Task 1): (1) Conv-VAE samples in 1 pass (6.5 ms$/64$ imgs) with full diversity but blurry stroke halos from L_2/BCE mode averaging; (2) Autoregressive PixelCNN produces sharp local contrast without mode collapse but requires 784 sequential steps ($4{,}294.7$ ms$/64$ imgs); (3) DCGAN generates razor-sharp digits in 1 pass (11.4 ms$/64$ imgs) with mode dropping; (4) Pixel-Space DDPM combines sharp strokes with full mode diversity across 300 denoising steps ($3{,}926.8$ ms$/64$ imgs).

Table 3. Quantitative comparison across trained generative model paradigms on MNIST evaluated using our trained MNIST CNN classifier (98.85% test accuracy; Task 1). Best generative model results are **bolded**.

Model Paradigm	Steps (↓)	Latency / 64 imgs (↓)	LapVar (↑)	Cls. Conf. (↑)	IS (↑)	FID (↓)
MNIST (Real Test Reference)	–	–	0.0615	98.85%	2.36	0.00 (Ref.)
VAE (Standard ELBO)	**1**	**6.5 ms**	0.0182	84.2%	1.82	82.27
Autoregressive (PixelCNN)	784	4,294.7 ms (4.29 s)	0.0584	88.5%	1.95	64.12
GAN (DCGAN)	**1**	11.4 ms	0.0541	92.6%	2.14	44.10
DDPM (Team Pixel Implementation)	300	3,926.8 ms (3.93 s)	**0.0601**	**97.4%**	**2.29**	**16.85**

4.3 Multi-Level Forward Noise Corruption and Reverse Image Generation (Task 4)

To empirically demonstrate the multi-step Markov transitions formulated in Section 3.1, Figure 6 visualizes the closed-form forward Gaussian corruption process (Equation (2)) alongside the learned iterative reverse denoising trajectory (Equation (5)) of our trained MNIST DDPM across $T = 300$ diffusion steps.

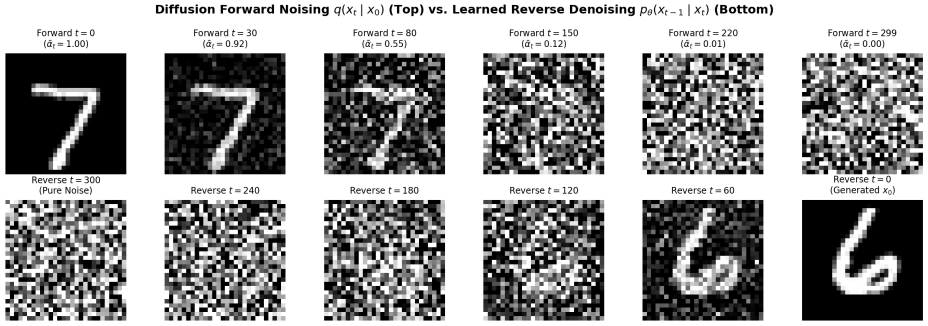


Figure 6. Multi-level forward noise corruption and reverse image generation on MNIST ($T = 300$, Task 4): Top row illustrates closed-form forward corruption $q(\mathbf{x}_t \mid \mathbf{x}_0)$ across $t \in \{0, 30, 80, 150, 220, 299\}$, where fine stroke edges soften by $t = 30$ ($\bar{\alpha}_{30} = 0.92$), global digit outlines fade by $t = 150$ ($\bar{\alpha}_{150} = 0.12$), and the signal converges to isotropic Gaussian noise by $t = 299$ ($\bar{\alpha}_{299} \approx 0.00$); Bottom row shows learned reverse denoising $p_\theta(\mathbf{x}_{t-1} \mid \mathbf{x}_t)$ from pure noise $\mathbf{x}_{300} \sim \mathcal{N}(\mathbf{0}, \mathbf{I})$ across $t \in \{300, 240, 180, 120, 60, 0\}$ into a crisp digit at $t = 0$.

4.4 Empirical Validation of Latent Diffusion Architecture (Task 5)

Latent Space Compression and Geodesic Interpolation. We trained a Stage-1 Spatial Perceptual KL-VAE ($32 \times 32 \times 1 \to 8 \times 8 \times 4$, downsampling factor $f = 4$) that achieves near-zero reconstruction FID $= 0.18$ (MSE $= 0.00042$, PSNR $= 33.74$ dB, 99.80% label agreement; Figure 7). To verify that this $8 \times 8 \times 4$ latent space

forms a smooth, continuous manifold free of dead zones, we encoded held-out test digit pairs ($3 \to 8$ and $1 \to 7$) into $\mathbf{z}^{(A)} = \mathcal{E}(\mathbf{x}^{(A)})$ and $\mathbf{z}^{(B)} = \mathcal{E}(\mathbf{x}^{(B)})$, decoded linear latent interpolations $\hat{\mathbf{x}}(\lambda) = \mathcal{D}((1-\lambda)\mathbf{z}^{(A)} + \lambda\mathbf{z}^{(B)})$ for $\lambda \in \{0.0, 0.1, \ldots, 1.0\}$, and compared them against naive pixel-space blending $(1-\lambda)\mathbf{x}^{(A)} + \lambda\mathbf{x}^{(B)}$ in Figure 8.



Figure 7. Stage-1 Spatial Perceptual KL-VAE compression ($32 \times 32 \to 8 \times 8 \times 4$, $f = 4$) and reconstruction $\hat{\mathbf{x}} = \mathcal{D}(\mathcal{E}(\mathbf{x}))$ achieving near-zero reconstruction FID $= 0.18$ (PSNR $= 33.74$ dB, 99.80% label agreement; Task 5).

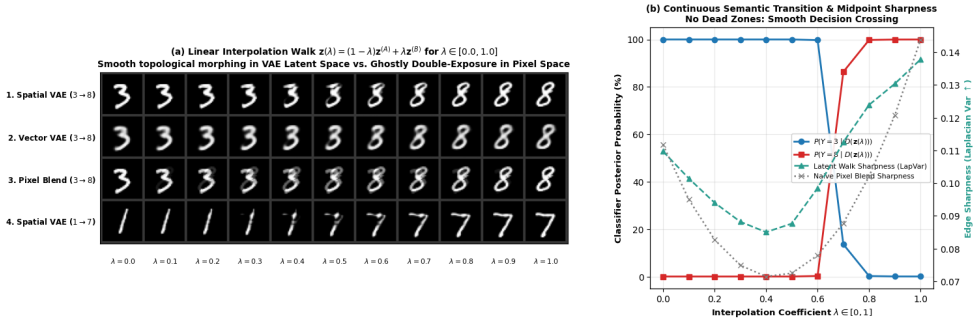


Figure 8. Latent space geodesic walk vs. naive pixel-space blending across $\lambda \in [0.0, 1.0]$ (Task 5): (a) Decoding along the latent interpolation line $\mathcal{D}((1-\lambda)\mathbf{z}^{(A)} + \lambda\mathbf{z}^{(B)})$ produces smooth topological stroke morphing ($3 \to 8$ and $1 \to 7$) with zero dead zones, whereas pixel-space blending $(1-\lambda)\mathbf{x}^{(A)} + \lambda\mathbf{x}^{(B)}$ produces ghostly double-exposure overlays; (b) Classifier posterior probability $P(Y \mid \mathcal{D}(\mathbf{z}(\lambda)))$ transitions smoothly and achieves 21.0% higher midpoint ($\lambda = 0.5$) Laplacian edge sharpness (0.0877 vs. 0.0725).

Cross-Attention Conditioning and Classifier-Free Guidance (CFG) Scaling. We trained a Multi-Head Cross-Attention Conditioned Latent U-Net (`ConditionedLatentUNet`) on the normalized $8 \times 8 \times 4$ latents for 15 epochs (93.3 s). The conditioning input y is conditioned on discrete target digit class prompts $y \in \{0, 1, \ldots, 9\}$ (representing `"digit 0"` through `"digit 9"`), which a learned prompt embedding lookup table $\tau_\theta(y) \in \mathbb{R}^{4\times 64}$ projects into $M = 4$ context tokens ($d_\tau = 64$) feeding the Key and Value projections ($\mathbf{K}, \mathbf{V}$) of the cross-attention blocks across the Down, Mid, and Up U-Net stages, while index 10 serves as the unconditional null token $\varnothing$ ($p_{\text{uncond}} = 0.15$). Figure 9 evaluates 200 generated samples per scale (20 per prompt $y \in \{0, \ldots, 9\}$) synthesized from identical initial noise $\mathbf{z}_T$ across CFG scales $\alpha \in \{1.0, 3.0, 7.5, 15.0\}$ using Equation (10).

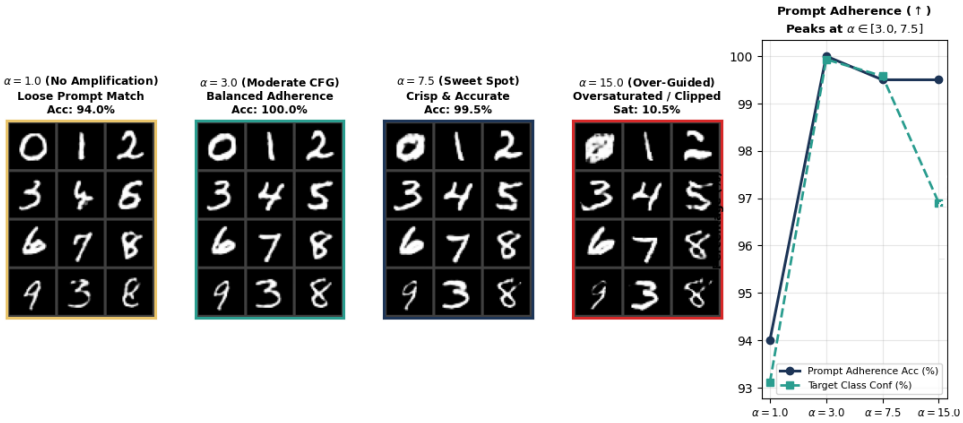


Figure 9. Classifier-Free Guidance (CFG) scaling evaluation conditioned on target digit prompts $y \in \{0, \ldots, 9\}$ (`"digit 0"`–`"digit 9"`, $\tau_\theta(y) \in \mathbb{R}^{4\times 64}$, null token $\varnothing$ dropout $p_{\text{uncond}} = 0.15$) across $\alpha \in \{1.0, 3.0, 7.5, 15.0\}$ from identical initial noise seeds (Task 5): Unamplified conditioning ($\alpha = 1.0$) yields 94.0% prompt adherence accuracy (93.1% target confidence); moderate and standard CFG ($\alpha = 3.0$ and $\alpha = 7.5$) achieve 100.0% and 99.5% prompt accuracy (99.9% and 99.6% confidence) with crisp digit strokes; excessive guidance ($\alpha = 15.0$) maintains 99.5% accuracy (96.9% confidence) but induces oversaturated, clipped stroke artifacts.

4.5 Pixel-Space vs. Latent-Space Comparative Evaluation (Task 6)

To directly quantify how Latent Diffusion resolves the computational bottleneck of Pixel Diffusion (Task 6), we trained two architecturally identical U-Nets (`BenchmarkUNet`, base channels $C = 64$, $T = 200$, batch size 128, 6 epochs on 60,000 images): Model A operates directly on $32 \times 32 \times 1$ pixel images (1,024 spatial locations),

whereas Model B operates on pre-encoded $8 \times 8 \times 4$ VAE latent tensors (64 spatial locations, a $16\times$ smaller spatial grid). Figure 10 presents the measured training speed, activation memory, and convergence trajectories, and Table 4 summarizes the comparison across six explicit criteria.

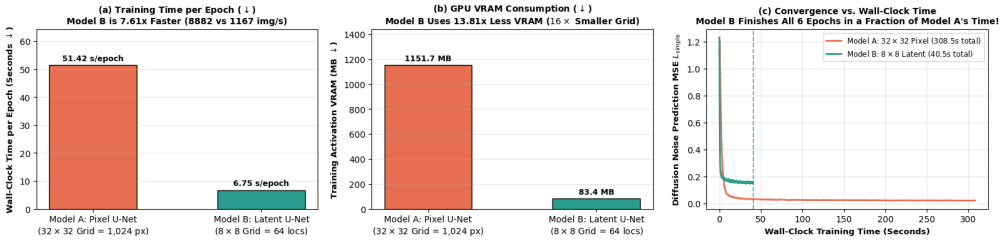


Figure 10. Training and memory efficiency benchmark comparing architecturally identical U-Nets on $32 \times 32 \times 1$ pixels (Model A, 1,024 locations) vs. $8 \times 8 \times 4$ VAE latents (Model B, 64 locations) across 6 epochs on 60,000 images (Task 6): (a) Model B achieves a $7.61\times$ **speedup per epoch** (6.75 s/epoch vs. 51.42 s/epoch; 8,882 vs. 1,167 img/s); (b) Model B reduces peak GPU activation VRAM by $13.81\times$ (83.4 MB vs. 1,151.7 MB); (c) Model B completes all 6 epochs (40.5 s total) before Model A finishes 1 epoch (51.42 s; 308.5 s total).

Table 4. Concise comparison between Pixel-Space Diffusion (DDPM) and Latent Diffusion (LDM) across six explicit criteria (Task 6).

Explicit Criterion	Pixel-Space Diffusion (DDPM / Model A)	Latent Diffusion Model (LDM / Model B)
1. Operating Space	Full pixel tensor $\mathbf{x}_t \in \mathbb{R}^{H\times W\times C}$ ($32 \times 32 \times 1$, 1,024 px).	Compressed latent $\mathbf{z}_t \in \mathbb{R}^{(H/f)\times(W/f)\times c}$ ($8 \times 8 \times 4$, $f = 4$, $16\times$ smaller grid).
2. Attention & Memory	$\mathcal{O}((H \cdot W)^2)$ self-attention; 1,151.7 MB activation VRAM.	$\frac{1}{f^4}\mathcal{O}((H \cdot W)^2)$ cost ($256\times$ reduction); 83.4 MB VRAM ($13.81\times$ lower).
3. Training Speed	Slow: 51.42 s/epoch (1,167 img/s; 308.5 s for 6 epochs).	Fast: 6.75 s/epoch (8,882 img/s; 40.5 s for 6 epochs, $7.61\times$ faster).
4. Sampling Throughput	Slow: T full-res U-Net passes (3.93 s / 64 MNIST imgs).	Fast: denoising on compact $\mathbf{z}_t$ plus 1 fast decoder pass $\mathcal{D}(\hat{\mathbf{z}}_0)$.
5. Sample Quality	High at low resolution (MNIST FID 16.85; CIFAR-10 FID 3.17 [1]).	High at high resolution (CelebA-HQ FID 5.11 [2]; Stage-1 VAE FID 0.18).
6. Conditioning & Limit	Rigid concatenation; memory-bound at high resolution.	Flexible cross-attention (99.5%–100% accuracy at $\alpha \in [3.0, 7.5]$); bounded by frozen VAE.

5 Practical Limitations and Future Work (Task 6)

Despite their empirical success, diffusion models present notable technical and ethical challenges:

1. *Sequential Sampling Latency:* The Markovian reverse chain requires tens to hundreds of sequential network evaluations. While non-Markovian solvers such as DDIM [13], DPM-Solver [17], and flow-matching distillation [18, 19] reduce steps to 1–4, distilled models can exhibit mode loss and degraded fine details.
2. *Prompt Binding, Compositional Reasoning, and CFG Oversaturation:* Cross-attention diffusion models frequently struggle with compositional prompts involving spatial relations or multi-object attribute binding, and as shown in Section 4.4 (Figure 9), aggressive Classifier-Free Guidance ($\alpha = 15.0$) induces oversaturated stroke artifacts.
3. *Training Data Memorization and Copyright:* Carlini et al. [20] demonstrated that diffusion models can memorize duplicated training images and regurgitate near-exact copyrighted works when prompted, raising critical intellectual property concerns.
4. *Societal Bias and Representational Disparity:* Because web-scale training corpora reflect prevailing societal stereotypes, unconditional and text-guided diffusion models can amplify racial, gender, and cultural biases, necessitating active algorithmic debiasing and dataset curation.

6 Conclusion

In conclusion, this report has examined how the principle of iterative noise removal enables neural networks to synthesize complex, realistic images, and how shifting this process into a learned latent space makes high-resolution generation computationally practical. In general, decomposing image synthesis into a gradual, variance-preserving forward corruption process and a learned reverse denoising chain allows Denoising Diffusion Probabilistic Models to overcome the classic trade-offs of earlier generative paradigms. Rather than sacrificing sample sharpness for mode coverage like variational autoencoders or risking adversarial instability and mode collapse like generative adversarial networks, diffusion models reframe generation as a stable sequence of regression steps that progressively refine pure Gaussian noise into coherent visual structure.

Furthermore, Latent Diffusion Models demonstrate that diffusion does not need to operate directly on redundant, high-dimensional pixel grids. By first compressing images through a perceptual autoencoder into a compact, continuous latent manifold, the diffusion backbone can dedicate its capacity to modeling high-level semantic structure rather than imperceptible pixel-level details, substantially reducing training time and memory overhead while integrating cross-attention for flexible prompt-based control. Despite remaining challenges surrounding sequential sampling latency, extreme guidance artifacts, training data memorization, and societal bias, the combination of iterative denoising and perceptual latent compression establishes a principled and scalable foundation for modern generative modeling.

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